



Beyond Disclosure Saturation: A Theory of Diminishing Returns in Corporate Sustainability Reporting

Prem Lal Joshi*

Independent Researcher, India

* Correspondence: Prem Lal Joshi (prem@acadjoshi.com)

Received: 07-12-2026

Revised: 08-31-2026

Accepted: 09-13-2026

Citation: Joshi, P. L. (2026). Beyond disclosure saturation: A theory of diminishing returns in corporate sustainability reporting. *J. Account. Fin. Audit. Stud.*, 12(3), 220–230. <https://doi.org/10.56578/jafas120305>.



© 2026 by the author(s). Published by Acadlore Publishing Services Limited, Hong Kong. This article is available for free download and can be reused and cited, provided that the original published version is credited, under the CC BY 4.0 license.

Abstract: The rapid expansion of corporate sustainability reporting has substantially increased the volume and complexity of information available to stakeholders, raising fundamental questions about whether additional disclosure continues to generate commensurate informational value. A conceptual framework, termed the Corporate Disclosure Saturation Theory (CDST), is developed to explain how the informational benefits of sustainability disclosure may change as disclosure volume, breadth, and complexity increase. Drawing on a theory-driven synthesis of research on sustainability reporting, integrated reporting (IR), stakeholder information needs, disclosure relevance, measurement, and reporting challenges, the framework proposes that the marginal value of additional disclosure may initially increase as information gaps are reduced but may subsequently diminish once a context-dependent saturation threshold is approached or exceeded. Beyond this threshold, excessive, repetitive, fragmented, or increasingly complex disclosure may impose greater cognitive and interpretive costs on stakeholders, potentially contributing to sustainability reporting fatigue and weakening the decision-usefulness of reported information. The proposed framework further integrates legitimacy theory and stakeholder theory to explain why disclosure may continue to expand even when its marginal informational value declines. From a legitimacy perspective, continued disclosure may be encouraged by institutional expectations, reputational considerations, and pressures to demonstrate organisational accountability, whereas stakeholder theory highlights the importance of aligning disclosure with the information needs, material interests, and decision contexts of diverse stakeholder groups. The framework therefore shifts attention from the quantity of sustainability disclosure towards its informational efficiency, relevance, and usability. The conceptual boundaries and limitations of disclosure saturation and reporting fatigue are also considered, particularly given the absence of a universally observable or measurable saturation point. The CDST provides a basis for future empirical investigation into the conditions under which additional sustainability disclosure ceases to enhance stakeholder decision-making and may instead generate diminishing or negative informational returns. Practical implications are identified for reporting professionals seeking to balance transparency with materiality, comprehensibility, and stakeholder usefulness.

Keywords: Sustainability reporting; Corporate disclosure; Disclosure saturation; Corporate Disclosure Saturation Theory; Reporting fatigue; Integrated reporting; Legitimacy theory; Stakeholder theory

1. Introduction

Due to the growing pressure on organisations to reveal financial, sustainability, governance, climate, and social data, corporate reporting has evolved significantly, and it is becoming critical. Even as regulatory timelines change, the long-term relevance and significance of sustainability reporting keep growing. Instead of disseminating sustainability data simply for its own sake, leading organisations are stressing integrated storytelling and strategic alignment (Curran & Connors, 2025). Although the goal of these increased reporting requirements is to improve accountability and transparency, they have also led to longer and more intricate corporate reports.

Integrated reporting (IR) aims to enhance concise, value-focused corporate communication; however, the increasing complexity of sustainability-related information complicates navigation for both users and preparers of corporate reports. Therefore, here come the issues of sustainability reporting saturation and reporting fatigue. In

this context, the reported situation is labelled by “saturation”, and a potential reaction to that situation is termed as “fatigue”. Together, these mechanisms provide a baseline for discussing how reporting stakeholders within the suggested Corporate Disclosure Saturation Theory (CDST) might be influenced by mounting sustainability reporting compliance (Font et al., 2025; Wu & Pupovac, 2019).

Moreover, the growing volume of mandatory and voluntary reporting requirements imposes significant compliance costs, coordination efforts, and reporting stress on organisations (Adams, 2015). Despite extensive research on reporting quality and transparency, limited attention has been given to the point at which additional disclosure ceases to create value and instead contributes to disclosure saturation and reporting fatigue. Therefore, this study proposes the CDST to explain how increasing reporting demands may inadvertently diminish reporting effectiveness and stakeholder decision usefulness (de Villiers et al., 2017).

The argument that there comes a point at which greater sustainability disclosure no longer enhances stakeholder comprehension, transparency, or company legitimacy—and may even result in information overload or declining returns—is the main emphasis of this discussion (Guo et al., 2023; Regina & Munasinghe, 2023).

Furthermore, the European Union’s sustainability disclosure framework is established under Commission Delegated Regulation (EU) 2023/2772 (European Commission, 2023). Within this structure, “a disclosure threshold is activated if a sustainability topic is deemed material from either an impact perspective, a financial perspective, or both. According to the European Commission (2023), the regulation does not mandate strict financial caps; instead, companies must establish their own objective thresholds using qualitative and quantitative metrics and explicitly disclose how those thresholds were determined.

Research Questions:

In light of the above discussion, the following research questions are set for this study:

- (1) What do disclosure saturation and disclosure fatigue reflect with regard to corporate sustainability reporting, and how are these phenomena conceptualised?
- (2) How can a modified conceptual framework for optimising sustainability disclosures incorporate the linkages between information quality, stakeholder outcomes, stakeholder value, and sustainability disclosure intensity?

Objectives of the Study:

The aim of this study is to attain the following objectives:

- (1) To describe and define disclosure saturation and fatigue in relation to corporate sustainability reporting.
- (2) To develop a refined framework for streamlining sustainability disclosures by explaining the relationships among disclosure intensity, information quality, stakeholder outcomes, and stakeholder value.

1.1 Importance of the Study

Researchers advocate that a limit is often there on the usefulness of information a company can communicate to the market. Beyond a minimum level of information, more disclosures mitigate information asymmetry further. This could cause confusion, information overload issues, or noise for investors (Farvaque et al., 2011).

Therefore, the suggested CDST in this study entails a new perspective on sustainability reporting. It explains that the information utility or value-added function of the disclosure may be reduced once a certain threshold of information is achieved.

The methodology discussed aids companies in forming sustainable disclosures that enhance transparency while not overwhelming users. It also offers regulators and standard-setting organisations valuable guidance for refining disclosure requirements. By identifying the optimal level of disclosure, the study encourages improved decision-making among stakeholders and fosters corporate responsibility. Overall, this framework enhances the theoretical understanding and practical implementation of sustainability reporting.

1.2 Contributions

This exploratory study contributes by proposing the CDST to explain the potential decline in marginal benefits from expanding sustainability disclosure. It extends legitimacy and stakeholder perspectives by introducing a threshold-based view of disclosure and highlighting the possibility of sustainability reporting fatigue. The study also identifies practical implications and limitations of these concepts, providing a foundation for future empirical validation.

1.3 Applicable Theories

Legitimacy Theory: This theory has been widely discussed and used by researchers in integrated and sustainability reporting research work. It is the most appropriate theory because it lucidly describes companies’ motivation for disclosure of information related to sustainability reporting (Nishitani et al., 2021). Companies disclose social and environmental information, both financial and non-financial, as a strategic response to reinforce their communication and perceive legitimacy among stakeholders as well as the society at large to meet

expectations, regulatory pressures, and increasing demands. At the same time, legitimacy theory also points out that excessive information disclosure no longer increases legitimacy but rather may create complex issues and problems.

The theory can be viewed as relevant to CDST, as it bolsters the aspects of disclosure within the framework, reflecting how disclosure volume may exceed the optimal level necessary to achieve legitimacy (Suchman, 1995).

Stakeholder Theory: Sustainability reporting aims to enhance openness, accountability, and decision-making ability of multiple stakeholders. While, stakeholders' theory posits that companies cater to the needs of diverse stakeholders' groups, therefore, this theory is also highly appropriate to explain disclosure usefulness and saturation relevance to them (Freeman, 2022).

On the other hand, it is a fact that stakeholders have diverse information needs and capacity constraints to process extensive disclosures meaningfully for their intended use. At the same time, beyond a certain point, increasing reporting volume may lead to information overload, increase greenwashing perceptions, reduce perceived value, and weaken the usefulness of sustainability information (Font et al., 2025).

Hence, stakeholder theory supports the "disclosure threshold" concept by indicating that providing more information does not necessarily enhance stakeholder value. Furthermore, excessive disclosure can lead to sustainability reporting fatigue among stakeholders.

Legitimacy theory fundamentally addresses the reasons behind the increasing volume of disclosures from companies, while stakeholder theory highlights the adverse effects of excessive disclosure, which can lead to decreased usefulness, heightened fatigue, and diminished stakeholder engagement. Thus, in this study, legitimacy theory serves as the primary theoretical foundation, with stakeholder theory acting as a complementary base to elucidate the phenomena of saturation and fatigue effects.

2. Prior Literature Review

Over the past decade, organisations have faced growing regulatory and stakeholder pressure to disclose financial and non-financial Environmental, Social, and Governance (ESG) information. The spread in sustainability reporting frameworks has tremendously broadened the scope and quantum of corporate disclosures. For example, the EU's Corporate Sustainability Reporting Directive (CSRD) considerably expanded mandatory sustainability reporting requirements for companies (European Commission, 2022). Its purpose was to enhance transparency and stakeholder decision-making. However, a higher level of disclosure may also lead to information overload, complexity, and reporting burdens. This highlights a major issue: does the usefulness of disclosure keep up to increase proportionately with its volume? This study discusses the concept of sustainability disclosure saturation to address the question at hand.

There has been a plethora of research studies ever since sustainability practices evolved for companies to implement; its approaches and its significant modifications have been depicted as crucial tools for improving transparency and accountability in organisations of different sizes (Boiral et al., 2019). In this regard, researchers and practitioners posit that despite their widespread use, voluntary reporting frameworks have by and large failed to provide meaningful outcomes (Ntim et al., 2017). Because of their flexibility, organisations have a lot of leeway in selecting their reporting practices, which leads to a disjointed and unfair environment.

Prior research has mainly examined the factors influencing corporate environmental disclosure, with less focus on whether the incremental benefit of such disclosure diminishes after reaching a certain threshold (Joshi et al., 2011).

Adams (2015) attempted to discuss the implications of the international IR framework and suggested integrated thinking for building quality corporate reporting. However, his study did not investigate disclosure saturation as a result of increasing disclosure compliance. While researchers have posited that sustainability and ESG disclosures increase transparency and add value in the long term (Yu et al., 2018), the likely negative effects of excessive disclosure and information overload remain under-researched. The possibility that excessive disclosures may lead to information overload and, consequently, reduce the effectiveness or usefulness of reported information has received limited attention.

Flower (2015) and de Villiers et al. (2017) critically reviewed IR literature and found inconsistencies in theory and applications related to integration; however, they did not conceptualise disclosure saturation and reporting fatigue. Instead, they emphasised developing conceptual frameworks that incorporate institutional drivers influencing IR adoption.

Cheng et al. (2014) emphasised the need for robust theoretical frameworks in sustainability reporting, overlooking factors like reporting burden and fatigue. Michelon et al. (2015) found that excessive disclosure doesn't guarantee quality in sustainability reports yet failed to provide a theoretical rationale for the threshold of disclosure.

Cho et al. (2015) studied legitimacy and impression management in sustainability reporting, emphasising disclosure motives, but failed to highlight the consequences of excessive reporting issues.

Dumay et al. (2016) dealt with IR research and discovered inconsistencies in theory and their applications.

However, they failed to conceptualise disclosure saturation or reporting fatigue, which have been contemporary corporate reporting issues.

Mooij (2017) evaluated 218 unique ESG frameworks and conducted interviews with asset managers in the UK, Netherlands, and Germany. The study found significant bottlenecks, notably that reporting fatigue leads to high operational expenses for businesses, which divert resources away from meaningful corporate transformation. Consequently, sustainability reporting results in disclosure saturation, reporting fatigue, and decreased reporting effectiveness.

Recent research highlights that the increase in mandatory and voluntary ESG frameworks has led to disclosure saturation and reporting fatigue. This surge in data requests often diverts corporate attention from genuinely improving ecological and social outcomes to merely fulfilling compliance requirements.

Tariq (2025) examines the effects of mandatory disclosure standards on corporate behaviour, revealing that such regulations lead to disclosure saturation. Instead of fostering genuine sustainability, companies prioritise increasing the volume of public metrics to meet and comply with statutory requirements, resulting in a disconnect between reported information and actual operational improvements.

Devi et al. (2025) directly deal with disclosure overload problems as well as narrative overlap in sustainability frameworks. There are also administrative strains due to duplicative and metric requirements. Their study findings highlight reporting redundancy, which leads to corporate window dressing. Such reporting, instead of fostering real transparency, has the saturation of reporting mandates that mitigates total disclosure effectiveness, as it is only clerical compliance.

In a recent study by Dhar & Bhalla (2026) comparing sustainability reporting of India, the European Union, and the USA, regimes report that while mandatory sustainability disclosure increases transparency, but significant environmental enhancement needs assurance, enforcement, and obligatory performance criteria.

A review of prior research studies on integrity reporting as well as sustainability reporting provides unique trends emphasising enhancing excessive disclosures with a feeling that such disclosures lead to higher quality of information, transparency, accountability and value creation over a long period of time. A plethora of research studies were conducted and have been published in quality, peer-reviewed journals. However, there has been limited attention provided by researchers in their research objectives and contents on the unintended consequences of expanding reporting requirements, particularly the overall or cumulative load or burden created by multiple mandatory and voluntary sustainability reporting frameworks. Therefore, prior and even recent literature has not paid adequate attention and priority to explaining the issues in which additional disclosure ceases to increase the quality of stakeholders' decision-making ability but rather generates disclosure saturation, reporting fatigue and reduced reporting effectiveness.

Consequently, there is a lack of a comprehensive theoretical framework that explains this occurrence across integrated and sustainability reporting. Therefore, focusing on and addressing this research gap is inevitable and significant because excessive reporting may increase compliance costs, reduce report readability, and ultimately undermine the original objective of meaningful corporate communication (de Villiers et al., 2017; Flower, 2015). Therefore, this study proposes the CDST to explain the relationship between increasing reporting demands, disclosure saturation, reporting fatigue, and reporting effectiveness.

3. Research Methodology

The research method is based on a qualitative, theory-driven bibliographic review of sustainability reporting and disclosure. The review is integrative and purposeful, drawing on academic journal articles, scholarly books, and empirical studies identified primarily through Google Scholar and ScienceDirect. The review period was purposefully defined rather than arbitrarily selected.

The focus was on a literature search of publications from 2018 to 2026 to document emerging trends and debates in sustainability reporting and disclosure based on evidence wherever relevant. Other relevant and conceptual studies prior to 2018 were also considered where necessary to support the theoretical foundations of the study. Therefore, the study employs a purposive and thematic selection of relevant literature to blend existing knowledge and generate new conceptual insights (Snyder, 2019; Torraco, 2005).

The search was based on utilising some key terms relevant to the research objectives, including “Sustainability Reporting”, “Sustainability Disclosure”, “Disclosure Saturation”, “Reporting Fatigue”, “Stakeholder Information”, “Stakeholder Engagement”, “Legitimacy Theory”, and “Stakeholder Theory”, etc.

The focus was more on articles providing empirical findings, conceptual analyses, or theoretical insights related to sustainability reporting, disclosure practices, stakeholder expectations, legitimacy, and the practical value of reported information. Irrelevant studies were excluded. The purpose was not to form a systematic literature review rather to explore relevant and recent academic literature that informed the study and its theoretical framework. This process entails the foundation for the suggested CDST, which explains the potential threshold beyond which additional sustainability disclosures may mitigate informational effectiveness and stakeholder usefulness.

4. Proposed Corporate Disclosure Saturation Theory

It is to be noted that the proposed CDST may not be only applicable to IR alone; rather, it may also explain similar descriptions across sustainability reporting, biodiversity reporting, digital reporting, climate change disclosures, human capital reporting, governance reporting, and future mandatory disclosure areas. The sustainability reporting saturation is the point beyond which additional sustainability disclosure produces progressively smaller incremental benefits relative to its informational, organisational and reporting costs.

4.1 Discussion and Analysis of the Corporate Disclosure Saturation Theory

CDST challenges the traditional thinking that if companies follow the principles of greater disclosure, both financial and non-financial, it automatically enhances transparency, a sign of greater accountability, and greatly benefits the stakeholders who need and use such information for their decision-making purposes.

To clearly distinguish between disclosure saturation and fatigue, it may be posited that disclosure saturation explains the thrust at which additional or excessive disclosure results in a declining information value. On the other hand, reporting fatigue may refer to how report users think and act in information-intensive reporting environments, including greater difficulty and reduced efficiency in processing additional information (Impink et al., 2022). According to Niemann & Hoppe (2018), reporting fatigue occurs when the administrative burden of data compilation vastly outweighs the diminishing returns of the reports over time.

Furthermore, disclosure intensity can create reporting burden and information saturation, which may influence the quality of information. It is important to note that the quality of information can affect how stakeholders understand, interpret, and use that information. Their outcome later on influences the production of stakeholder value. Therefore, Figure 1 is presented as a sequential theoretical mechanism.

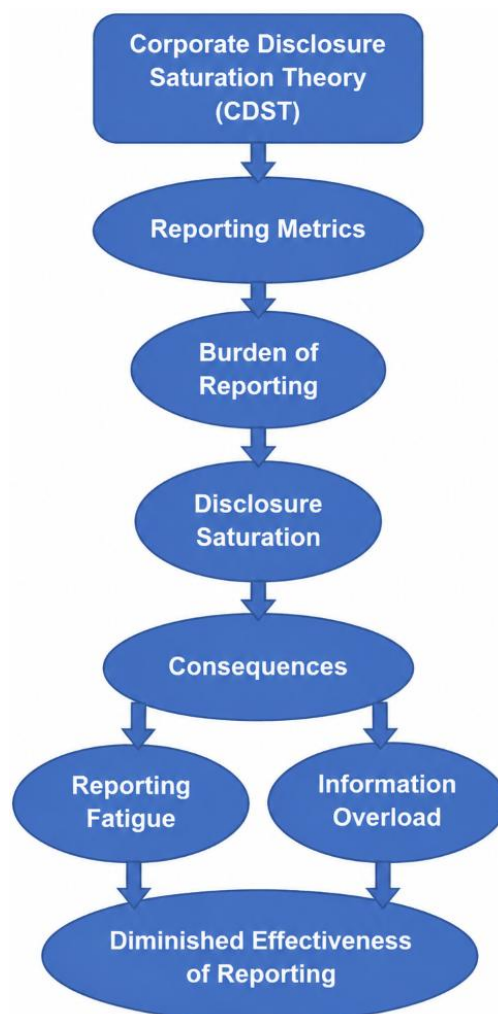


Figure 1. Corporate Disclosure Saturation Theory

Source: Developed by the author based on prior literature (Aktar & Tekşen, 2026; Niemann & Hoppe, 2018; Impink et al., 2022; Wu & Pupovac, 2019).

CDST proposes that the relationship between disclosure intensity, information quality, stakeholder outcomes, and stakeholder value is somewhat threshold-based. It is posited that the increased sustainability disclosure at the outset may enhance information quality by catering to stakeholders' growing information requirements, thereby influencing their decision-making and stakeholder value. However, beyond a prime disclosure threshold, further increases in volume, frequency, and complexity of disclosure may lessen informational usefulness through information overload, processing steps, verification challenges, and increasing compliance costs (Aktar & Tekşen, 2026; Kwok, 2025). Thus, excessive disclosure can diminish stakeholder outcomes and value rather than enhance them. This disclosure saturation occurs when the marginal informational benefits of additional sustainability reporting are outweighed by its costs and reduced usability (Font et al., 2025; Joshi, 2026; Wu & Pupovac, 2019).

Thus, the suggested CDST advocates that beyond a threshold or an optimal disclosure level, more information may reduce rather than enhance reporting efficacy and may lose its value relevance. In this context, the research findings of Impink et al. (2022) show that beyond an optimal threshold, extensive financial or regulatory disclosures trigger information overload, which actively degrades the overall efficiency and quality of the reporting environment.

This viewpoint advances IR research by emphasising the consequences of cumulative reporting pressures over mere disclosure volume. It argues for a focus on core elements like materiality and governance reporting, advocating for a balance between transparency and usability. The study introduces the CDST, suggesting that excessive disclosure can impair the effectiveness of sustainability reporting, leading to sustainability reporting fatigue, characterised by reduced stakeholder engagement and diminished communication value.

In this connection, the linkage between legitimacy theory and sustainability reporting suggests that companies foster sustainability disclosures to attain social acceptance and align with societal expectations. While stakeholder theory supports this explanation by reflecting that varied stakeholder demands cause companies to provide more comprehensive sustainability information. However, the motivation for extensive disclosures may lead to reporting saturation, resulting in fatigue among both preparers and users. These theories inform the proposed framework.

More and intensive empirical studies are needed to investigate to what extent disclosure saturation influences decision usefulness, reporting costs, and stakeholder perceptions of their utility (Dumay et al., 2016; Michelon et al., 2015).

Based on the above explanation, the following three propositions are proposed, which may be useful in empirical testing in the future:

Proposition-1: Reporting burden and disclosure intensity are positively correlated; excessive disclosure may result in information saturation.

Proposition-2: It may be expected that information saturation would mitigate the quality of information accessible to stakeholders, thereby influencing the stakeholder outcomes.

Proposition-3: More stakeholder value is anticipated as a result of improved stakeholder outcomes.

4.2 Potential Limitations of Corporate Disclosure Saturation Theory

There is a saying that every problem has a solution and that solution may have many problems or limitations. The same argument may reflect the suggested CDST too. The possible limitations of the model are displayed in Figure 2.

The following explanations are provided for each point in detail:

-Stakeholder diversity problem: Various stakeholders as users of sustainability information have diverse information needs. At the same time, it may create information overload for certain stakeholders, for others, it may be perceived as useful information.

-Risk of supporting reduced transparency: Critics suggest that the concept may be exploited by organisations to evade increased accountability and disclosure requirements (Villiers, 2026).

-Limited causal evidence: Only a recent study (Font et al., 2025) attempted to establish empirical evidence that perceived sustainability information overload can increase greenwashing perceptions and affect perceived value. However, there is limited empirical evidence in the current literature that greater disclosure causes tiredness or reduces the efficacy of reporting.

-Context dependency: There may be substantial differences in reporting tiredness between nations, sectors, legal frameworks, and organisational maturity levels.

-Diminishing returns on compliance costs: Diminishing marginal returns on additional disclosures provide little value and costs outweigh benefits in capital markets. The Malaysian studies examine perceived benefits and barriers to IR, rather than relying exclusively on archival market data. This is useful because saturation is ultimately a question about the relationship between increasing disclosure and its perceived/realized benefits and costs (Joshi et al., 2018). Additionally, smaller companies are often more financially constrained and leaked proprietary information can threaten competitive advantages (Zhou, 2022).

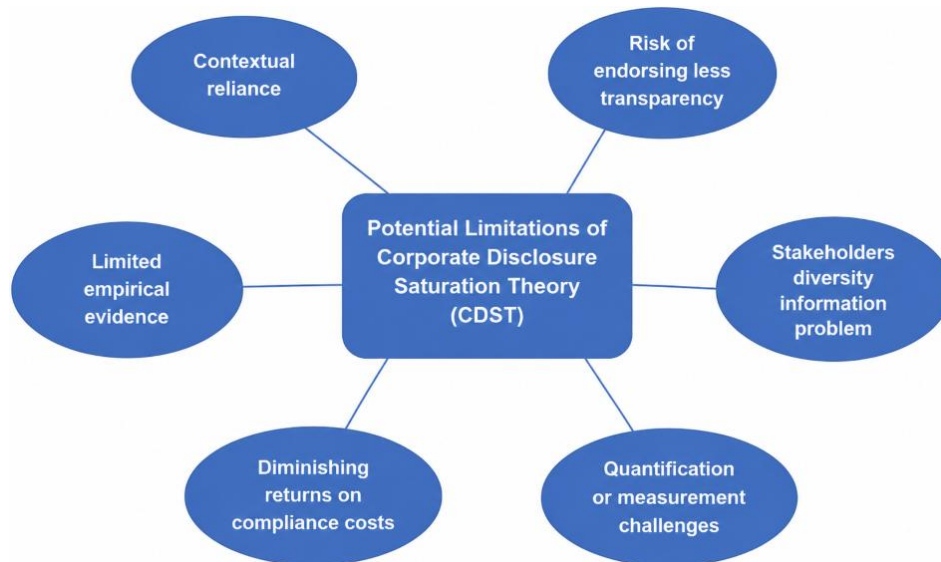


Figure 2. Potential limitations of Corporate Disclosure Saturation Theory

Source: Developed by the author based on prior literature (Dumay et al., 2016; Font et al., 2025; Joshi et al., 2018; Villiers, 2026).

4.3 Limitations of Sustainability Reporting Fatigue

Several research studies have discussed the issues arising from excessive mandatory disclosure requirements. In a theoretical discussion, Kwok (2025) highlights that such excessive disclosure results in information overload, generating valuable public data into noise, causing reduced market efficiency, creating resource misallocation, and failing to increase social welfare because compliance costs exceed the benefits from such disclosures. Similarly, a thought-provoking article by Pavoni (2020) posits that ESG reporting is experiencing fatigue due to conflicting frameworks, causing confusion for companies and investors. Experts recommend unified standards that incorporate environmental and social risks into decision-making, suggesting that mandatory disclosures could enhance consistency and accountability.

The following explanations are provided for each point as presented in Figure 3.

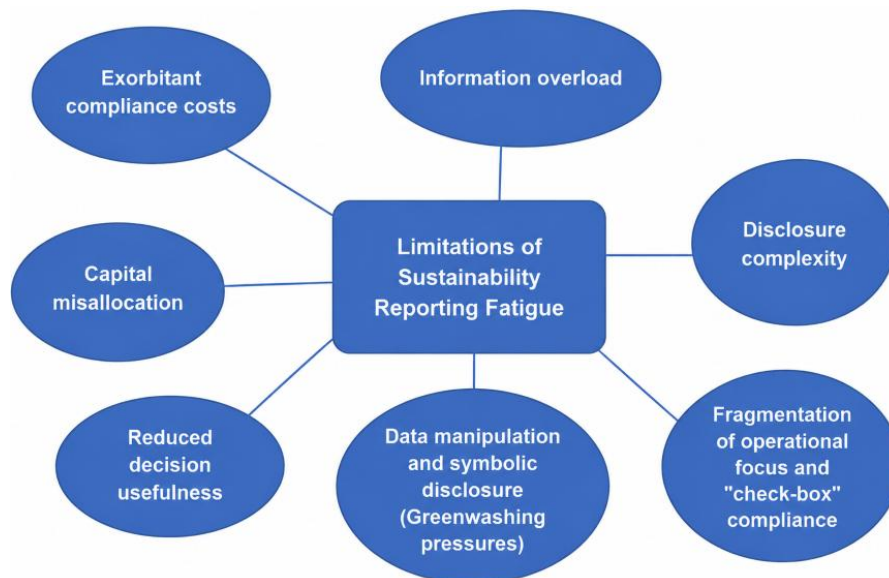


Figure 3. Limitations of sustainability reporting fatigue

Source: Developed by the author based on prior literature (Braun et al., 2025; Christensen et al., 2021; Hagemeyer & Müller, 2026; Impink et al., 2022; Lyon & Montgomery, 2015; MacLean & Behnam, 2010; Williment, 2026).

-Information overload: Arguments and worries from corporate sector companies have shown that the statutory increasing pressure and requirements on the number of sustainability, ESG, governance reporting, and climate disclosure information create too many disclosure demands without much improvement in stakeholders' decision-

making (Al Amosh, 2025; Hagemeyer & Müller, 2026). Similarly, in the Indian perspective, the growing complexity of ESG disclosures could lead to information overload, hindering stakeholders' ability to identify and interpret crucial decision-relevant information (Devi et al., 2025).

Furthermore, information overload causes institutional investors' mental workload, prolonging decision processes, causing decision fatigue, and increasing financial risk uncertainty (Aktar & Tekşen, 2026). Therefore, these being complex compliance and disclosure requirements are distorting the company's managerial resources and undermining the overall environmental and ESG reporting quality. The serious problem is created for smaller firms in this regard. It is posited that the large-sized global companies are able to bear the increasing compliance costs, while mid-cap and smaller companies bear an unduly huge burden owing to disclosure fatigue (Nakashima & Nishitani, 2026).

-Exorbitant compliance costs: Due to excessive disclosure and compliance of uneconomical information related to sustainability, companies have been confronting exorbitant compliance costs pertaining to the collection of data, processing, reporting, consulting, assurance and implementation activities (Christensen et al., 2021). This increases high fixed costs to the organisations (Rudžionienė & Brazdžius, 2023).

-Capital misallocation: There are often arguments that the attention of management towards this reporting is taking too much of their professional time, and other production activities may suffer due to this. At the same time, organisational resources may be diverted or misallocated in implementing sustainability actions in preparing and managing disclosures (Braun et al., 2025). That is, actions may result in capital misallocation by diverting resources away from other productive activities.

-Disclosure complexity: To improve transparency, companies are encouraged to adopt several frameworks such as CSRD, International Sustainability Standards Board, Global Reporting Initiative, CDP, Taskforce on Nature-related Financial Disclosures, and Science Based Targets initiative (Williment, 2026). These multiple framework reports usually produce confusion, duplication, increased costs and inconsistency in reporting. For instance, research by Shaikh & Tripathy (2025) supports efforts to harmonise reporting while highlighting the inconsistency and comparability in sustainability reporting.

-Reduced decision usefulness: Often an emerging criticism is levied against the sustainability report on the excessive volumes of both financial and non-financial information. Such a huge volume of information confuses the stakeholders, and they find it difficult to select or identify material information for their decision-making kit (Baumüller & Sopp, 2022). Consequently, the excessive volumes of information reduce decision usefulness. It triggers severe information overload, directly reducing stakeholders' and financial analysts' decision-making accuracy and efficiency (Impink et al., 2022). While Joshi (2026) argues that the ongoing challenges in assessing non-financial information and managerial discretion in reporting practices may reduce decision usefulness.

-Fragmented focus, check-box compliance: Experts suggest that most corporate companies view sustainability reporting merely as a compliance exercise rather than as a serious strategic management tool. It creates fragmented efforts across functions, leading to a bureaucratic "check-box" exercise (MacLean & Behnam, 2010). It is further posited that excessive sustainability reporting may produce reporting fatigue, resulting in burdens that diminish the effective utilisation of sustainability information and hamper the progress towards sustainability objectives (de Jong, 2025).

-Window dressing: Due to the excessive scale of reporting requirements, companies experience information overload problems which increase the risk of data manipulation, window dressing, symbolic compliance or selective disclosures, resulting in degrading stakeholders' trust. For example, ignoring or underestimating environmental liabilities when regulatory enforcement is weak. Furthermore, Lyon & Montgomery (2015) focus on greenwashing, symbolic environmental communication, and selective disclosure, which emphasises how businesses can use environmental reporting to manipulate public perception.

5. Conclusion, Limitations, Implication, and Future Research

5.1 Conclusion

In view of the contemporary research issues, the literature synthesis brings forth a theoretical basis for looking into corporate sustainability disclosure as a process that may reach a saturation point. Contemporary research reflects growing challenges in evaluating integrated-reporting information and its relevance to the capital market. Against this background, the proposed CDST recommends that beyond a potential threshold, additional or excessive disclosure may produce sequentially lower marginal informational and stakeholder benefits. The identified limitations indicate that the saturation threshold is neither universal nor static, but may vary across organisational and institutional contexts. The proposed sustainability reporting fatigue model further suggests that persistent disclosure expansion may contribute to complexity, repetition, disengagement, and declining perceived usefulness. Together, the CDST and fatigue model provide complementary theoretical explanations for why increasing disclosure volume may not continuously enhance reporting effectiveness, while remaining propositions for future empirical validation.

5.2 Limitations of the Study

This study is conceptual and theory-driven, relying on qualitative synthesis of existing literature rather than primary empirical evidence. The proposed CDST and sustainability reporting fatigue model therefore remain theoretical propositions and do not establish a universally applicable disclosure threshold. Future research should empirically test these propositions across industries, regulatory environments, stakeholder groups, and reporting contexts.

5.3 Practical Implications for Organisations and Practitioners

The proposed CDST may offer practical benefits for companies and professionals by indicating the necessity to periodically evaluate whether increased disclosures are providing incremental value to stakeholders and management. Additionally, cost, complexity, and information relevance significantly influence reporting practices in the current context. Companies should therefore recognise the possibility that a saturation point may be approaching, while stakeholders may also experience information fatigue when too much information is presented for processing. Practitioners and accountants can use this framework to identify potential signs of disclosure saturation and reporting fatigue, particularly where marginal costs increase while marginal returns decline. This may help companies design sustainability-reporting strategies more carefully so that they achieve the intended objectives and scope of sustainability reporting.

5.4 Direction for Future Research

Future research should explore the “disclosure fatigue” threshold, where volume of sustainability reporting disclosure mitigates stakeholder utility. It should assess the operational costs and market impacts of information overload, which creates auditing bottlenecks.

Another potential research direction involves examining how artificial intelligence and machine learning can effectively analyse and synthesise extensive ESG reports, helping to identify key insights and trends by filtering through voluminous data to enhance clarity and relevance.

Comparative analyses in different institutional contexts are also important to examine whether sustainability reporting can enhance efficiency and transparency, especially in emerging markets.

Data Availability

Not applicable.

Conflict of Interest

The author declares no conflicts of interest.

Declaration on the Use of Generative AI and AI-assisted Technologies

The author has used AI tool only for checking and corrections of grammar in the paper.

References

- Adams, C. A. (2015). The International Integrated Reporting Council: A call to action. *Crit. Perspect. Account.*, 27, 23–28. <https://doi.org/10.1016/j.cpa.2014.07.001>.
- Aktar, A. & Tekşen, Ö. (2026). Information overload in financial reporting and behavioral decision-making: Institutional investors’ perspectives. *J. Risk Financ. Manag.*, 19(5), 366. <https://doi.org/10.3390/jrfm19050366>.
- Al Amosh, H. (2025). Exploring the influence of accounting reporting complexity on ESG disclosure. *Corp. Soc. Responsib. Environ. Manag.*, 32(5), 5760–5778. <https://doi.org/10.1002/csr.70000>.
- Baumüller, J. & Sopp, K. (2022). Double materiality and the shift from non-financial to European sustainability reporting: Review, outlook and implications. *J. Appl. Account. Res.*, 23(1), 8–28. <https://doi.org/10.1108/JAAR-04-2021-0114>.
- Boiral, O., Heras-Saizarbitoria, I., & Brotherton, M. C. (2019). Assessing and improving the quality of sustainability reports: The auditors’ perspective. *J. Bus. Ethics*, 155, 703–721. <https://doi.org/10.1007/s10551-017-3516-4>.
- Braun, M., Marcet, F., & Raddatz, C. (2025). How do ESG firms invest? *Int. Rev. Financ. Anal.*, 97, 103863. <https://doi.org/10.1016/j.irfa.2024.103863>.

- Cheng, M., Green, W., Conradie, P., Konishi, N., & Romi, A. (2014). The international integrated reporting framework: Key issues and future research opportunities. *J. Int. Financ. Manag. Account.*, 25(1), 90–119. <https://doi.org/10.1111/jifm.12015>.
- Cho, C. H., Michelon, G., Patten, D. M., & Roberts, R. W. (2015). CSR disclosure: The more things change...? *Account. Audit. Account. J.*, 28(1), 14–35. <https://doi.org/10.1108/AAAJ-12-2013-1549>.
- Christensen, H. B., Hail, L., & Leuz, C. (2021). Mandatory CSR and sustainability reporting: Economic analysis and literature review. *Rev. Account. Stud.*, 26(3), 1176–1248. <https://doi.org/10.1007/s11142-021-09609-5>.
- Curran & Connors. (2025). *Corporate reporting is changing. Are you ready for what comes next?* <https://www.curran-connors.com/corporate-reporting-is-changing-are-you-ready-for-what-comes-next/>
- de Jong, M. (2025). Sustainability reporting: Can we avoid another triumph of hope over experience? *J. Public Budg. Account. Financ. Manag.*, 37(6), 354–369. <https://doi.org/10.1108/JPBAFM-01-2025-0024>.
- de Villiers, C., Hsiao, P.-C. K., & Maroun, W. (2017). Developing a conceptual model of influences around integrated reporting, new insights, and directions for future research. *Meditari Account. Res.*, 25(4), 450–460. <https://doi.org/10.1108/MEDAR-07-2017-0183>.
- Devi, R., Firoz, M., & Saravanan, R. (2025). Unveiling redundancy in environmental, social, and governance reporting framework in India: An exploratory study. *Sustain. Account. Manag. Policy J.*, 16(2), 551–582. <https://doi.org/10.1108/SAMPJ-10-2023-0786>.
- Dhar, S. & Bhalla, R. (2026). Transparency without transformation? The disclosure-performance gap in mandatory corporate sustainability reporting across India, the EU, and the USA. *Environ. Challeng.*, 24, 101573. <https://doi.org/10.1016/j.envc.2026.101573>.
- Dumay, J., Bernardi, C., Guthrie, J., & Demartini, P. (2016). Integrated reporting: A structured literature review. *Account. Forum*, 40(3), 166–185. <https://doi.org/10.1016/j.accfor.2016.06.001>.
- European Commission. (2022). *Corporate sustainability reporting*. https://finance.ec.europa.eu/financial-markets/company-reporting-and-auditing/company-reporting/corporate-sustainability-reporting_en
- European Commission. (2023). *Commission Delegated Regulation (EU) 2023/2772 of 31 July 2023 supplementing Directive 2013/34/EU of the European Parliament and of the Council as regards sustainability reporting standards*. Official Journal of the European Union. https://eur-lex.europa.eu/eli/reg_del/2023/2772/oj
- Farvaque, E., Refait-Alexandre, C., & Saïdane, D. (2011). Corporate disclosure: A review of its (direct and indirect) benefits and costs. *Int. Econ.*, 128, 5–31. [https://doi.org/10.1016/S2110-7017\(13\)60001-3](https://doi.org/10.1016/S2110-7017(13)60001-3).
- Flower, J. (2015). The International Integrated Reporting Council: A story of failure. *Crit. Perspect. Account.*, 27, 1–17. <https://doi.org/10.1016/j.cpa.2014.07.002>.
- Font, X., Andreu, L., Mattila, A. S., & Aldas-Manzano, J. (2025). Sustainability information overload: Its effect on customers' greenwashing perceptions, perceived value, and behavioral intentions. *J. Hosp. Tour. Manag.*, 62, 196–204. <https://doi.org/10.1016/j.jhtn.2025.01.013>.
- Freeman, R. E. (2022). My own book review. Strategic management: A stakeholder approach. *M@n@gement*, 25(1), 66–68. <https://doi.org/10.37725/mgmt.v25.8519>.
- Guo, Y., Liu, Y., Pan, Z., & Bu, G. (2023). The impact of information overload on investment decisions under the information disclosure system of STAR Market. *Adv. Econ. Manag. Polit. Sci.*, 4(1), 174–184. <https://doi.org/10.54254/2754-1169/4/20221051>.
- Hagemeyer, L. & Müller, M. A. (2026). Demand for sustainability disclosures: Evidence from web-tracking data of CSRD reports. *Account. Bus. Res.*, 56(3), 365–397. <https://doi.org/10.1080/00014788.2026.2631933>.
- Impink, J., Paananen, M., & Renders, A. (2022). Regulation-induced disclosures: Evidence of information overload? *Abacus*, 58(3), 432–478. <https://doi.org/10.1111/abac.12246>.
- Joshi, P. L. (2026). Integrated reporting: A research note on measurement, verification, and capital market relevance. *Int. J. Account. Manag. Sci.*, 5(2), 136–146. <https://doi.org/10.56830/IJAMS04202603>.
- Joshi, P. L., Sallehuddin, A., & Munusamy, P. (2018). Perceptions of corporate executives in the adoption and implementation of integrated reporting: Evidence from Malaysia. *Indian J. Finance*, 12(6), 25–45. <https://doi.org/10.17010/ijf/2018/v12i6/128114>.
- Joshi, P. L., Suwaidan, M. S., & Kumar, R. (2011). Determinants of environmental disclosures by Indian industrial listed companies: Empirical study. *Int. J. Account. Finance*, 3(2), 109–130. <https://doi.org/10.1504/IJAF.2011.043843>.
- Kwok, H. N. (2025). The perils of excessive mandatory disclosure: Balancing transparency, agency costs, and economic efficiency in Corporate Law [Preprint]. *SSRN*. <https://ssrn.com/abstract=5428814>
- Lyon, T. P. & Montgomery, A. W. (2015). The means and end of greenwash. *Organ. Environ.*, 28(2), 223–249. <https://doi.org/10.1177/1086026615575332>.
- MacLean, T. L. & Behnam, M. (2010). The dangers of decoupling: The relationship between compliance programs, Legitimacy Perceptions, and institutionalized misconduct. *Acad. Manag. J.*, 53(6), 1499–1520. <https://doi.org/10.5465/amj.2010.57319198>.
- Michelton, G., Pilonato, S., & Ricceri, F. (2015). CSR reporting practices and the quality of disclosure: An empirical analysis. *Crit. Perspect. Account.*, 33, 59–78. <https://doi.org/10.1016/j.cpa.2014.10.003>.

- Mooij, S. (2017). The ESG rating and ranking industry: Vice or virtue in the adoption of responsible investment? [Preprint]. *SSRN*. https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2960869
- Nakashima, A. & Nishitani, K. (2026). Firm-size heterogeneity in the effects of ESG disclosure on firm value under institutional reform: Evidence from Japan. *Bus. Strategy Environ.*, 2026, 1–18. <https://doi.org/10.1002/bse.70994>.
- Niemann, L. & Hoppe, T. (2018). Sustainability reporting by local governments: A magic tool? Lessons on use and usefulness from European pioneers. *Public Manag. Rev.*, 20(1), 201–223. <https://doi.org/10.1080/14719037.2017.1293149>.
- Nishitani, K., Unerman, J., & Kokubu, K. (2021). Motivations for voluntary corporate adoption of integrated reporting: A novel context for comparing voluntary disclosure and legitimacy theory. *J. Clean. Prod.*, 322, 129027. <https://doi.org/10.1016/j.jclepro.2021.129027>.
- Ntim, C. G., Soobaroyen, T., & Broad, M. J. (2017). Governance structures, voluntary disclosures and public accountability: The case of UK higher education institutions. *Account. Audit. Account. J.*, 30(1), 65–118. <https://doi.org/10.1108/AAAJ-10-2014-1842>.
- Pavoni, S. (2020). *Proliferation of demands risks 'sustainability reporting fatigue'*. Financial Times. <https://www.ft.com/content/9692adda-5d73-11ea-ac5e-df00963c20e6>
- Regina, A. L. V. & Munasinghe, A. (2023). The concept of information overload: A review of literature from the field of accounting and finance. In *Proceedings of the 13th International Conference on Business & Information (ICBI) 2022, Kelaniya, Sri Lanka*. <http://doi.org/10.2139/ssrn.4449786>.
- Rudžionienė, K. & Brazdžius, Š. (2023). Cost and benefits of sustainability reporting: Literature review. In *Sustainable Performance in Business Organisations and Institutions: Measurement, Reporting and Management* (pp. 56–72). Publishing House of Wrocław University of Economics and Business. <https://doi.org/10.15611/2023.83.1.03>.
- Shaikh, I. & Tripathy, A. K. (2025). Variability in sustainability reporting—A multicounty study. *J. Environ. Manage.*, 373, 123851. <https://doi.org/10.1016/j.jenvman.2024.123851>.
- Snyder, H. (2019). Literature review as a research methodology: An overview and guidelines. *J. Bus. Res.*, 104, 333–339. <https://doi.org/10.1016/j.jbusres.2019.07.039>.
- Suchman, M. C. (1995). Managing legitimacy: Strategic and institutional approaches. *Acad. Manage. Rev.*, 20(3), 571–610. <https://doi.org/10.5465/amr.1995.9508080331>.
- Tariq, A. (2025). Mandatory sustainability reporting and the disclosure-performance gap: Insights from the EU directive. *Meditari Account. Res.*, 33(7), 536–567. <https://doi.org/10.1108/MEDAR-02-2025-2838>.
- Torraco, R. J. (2005). Writing integrative literature reviews: Guidelines and examples. *Hum. Resour. Dev. Rev.*, 4(3), 356–367. <https://doi.org/10.1177/1534484305278283>.
- Villiers, C. (2026). Greenhushing as strategic silence: A disturbing twist for stakeholder engagement and sustainable business. *Eur. Company Financ. Law Rev.*, 23(1), 5–40. <https://doi.org/10.1515/ecfr-2026-0009>.
- Williment, C. (2026). *Top 10: Sustainability reporting frameworks*. Sustainability Magazine. <https://sustainabilitymag.com/top10/top-10-sustainability-reporting-frameworks>
- Wu, D. & Pupovac, S. (2019). Information overload in CSR reports in China: An exploratory study. *Australas. Account. Bus. Finance J.*, 13(3), 3–28. <https://doi.org/10.14453/aabfj.v13i3.2>.
- Yu, E. P., Guo, C. Q., & Luu, B. V. (2018). Environmental, social and governance transparency and firm value. *Bus. Strategy Environ.*, 27(7), 987–1004. <https://doi.org/10.1002/bse.2047>.
- Zhou, Y. (2022). Proprietary costs and corporate lobbying against changes in mandatory disclosure. *Manage. Sci.*, 68(11), 8483–8505. <https://doi.org/10.1287/mnsc.2021.4290>.